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Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

Final ..... Examination

Group No. 1 ..... Paper No. 1 .....

Subject ..... Financial Reporting .....

Number of Answer Books used : Main + 6 ..... additional sheets

Date Seal

For use by ICAI only

818322

PUT THE SEAL WITH IN THIS CIRCLE — THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA — SEAL — MAY 2025

2 - MAY 2025

Paper Code: C H M 1

MCQ Booklet Serial No.: 5022913

Paper No.: 1

Level of Exam: Final

Foundation (1) Intermediate (2) Final

MCQ Answers

1	C	11	D	21				
2	D	12	D	22				
3	B	13	A	23				
4	C	14	B	24				
5	D	15	B	25				
6	B	16		26				
7	B	17		27				
8	C	18		28				
9	B	19		29				
10	C	20		30				

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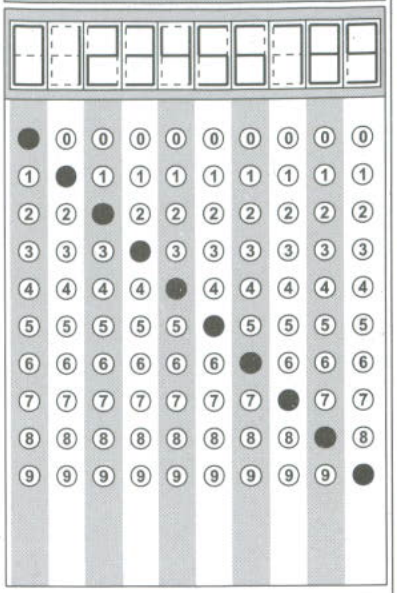
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Illustration for Filling the MCQ Booklet Serial No.



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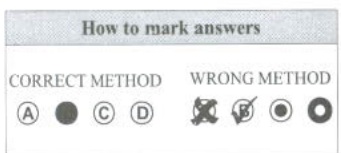
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5. Please do NOT make any stray marks on the OMR cover page.

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7. Mark your answer only in the appropriate space against the number corresponding to the question.



Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1	✓	8	
2	✓	9	
3		10	
4	✓	11	
5	✓	12	
6	✓	13	
7		14	
Total		Total	

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Answer - 4(a)

Q.4.

a.

Chimney Ltd

Machinery Account

Date	Particular	₹	Date	Particulars	₹
2019 Apr,1	To Bank A/c	18,00,000	2020 Mar,31	By Depreciation A/c (W/N-1)	180,000
				By balance c/d	1620,000
		1800,000			1800,000
2020 Apr 1	To balance b/d	1620,000	2021 Mar 31	By Depreciation A/c	180,000
				By balance c/d	1440,000
		1620,000			1620,000
2021 Apr,1	To balance b/d	14,40,000	2022 Mar,31	By Depreciation A/c (W/N-3)	194,400
1	To Revaluation Surplus (OCI) (W/N-2)	115,200		By balance c/d	1360,800
		15,55,200			1555200
2022 Apr,1	To balance b/d	1360,800	2023 Mar 31	By Depreciation A/c	194,400
				By balance c/d	1,166,400
		1360800			1360800

Date	Particular	₹	Date	Particulars	₹
2023 Apr 1	To balance b/d	11,66,400	2023 Apr 1	By Revaluation Surplus A/c (W/N-5)	86,400
				By Profit & Loss A/c (W/N-6)	30,240
			2024 Mar 31	By Depreciation A/c (W/N-7)	131,220
				By balance c/d	918540
		1166400			1166400
2024 Apr 1	To balance b/d	918540	2025 Mar 31	By Depreciation A/c	131,220
				By Bank A/c	898780
2025 Mar 31	To Profit & Loss A/c (Gain on Sale) (Bal. Fig.)	111,460			
		1030,000			10,30,000

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WORKING NOTES :-

1. Depreciation.

Depreciation charged for 2 years
= 18,00,000 - 14,40,000

= ₹ 360,000

∴ Depreciation p.a = ₹ 180,000

∴ Useful Life = $\frac{18,00,000}{180,000}$

= 10 years.

2. Revaluation

1440,000 x 8% = ₹ 115,200

3. Depreciation for 20x1-22

$\frac{14,40,000 + 115200}{8}$ = ₹ 194,400.

4 Revaluation on 1/4/23

Downward Revaluation = 1166400 x 10%
= ₹116,640

5 Balance in Revaluation Surplus

	₹
Revaluation Surplus on 1/4/21	115200
Deduction for 2 years (Transferred to Retained Earnings) (115200 x 2/8)	(28800)
Balance on 1/4/23	~~1728~~ 86,400

6. Loss Recogned in Profit & Loss A/c

Downward Revaluation	(-) Revaluation Surplus Balance
116,640 -	86,400
= ₹ 30,240	

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7. Revised Depreciation on 31/3/24

Carrying Amount = 1166,400 - 116,640

= ₹10,49,760

Useful Life = 8 years

Depreciation = $\frac{1049760}{8}$

= ₹131,220

Answer- 4(b)

Q.4.
b.
(i)

National Ltd
Journal Entries

Date	Particulars		Dr (₹)	Cr (₹)
31 Mar 2022	Employee Benefit Expense (EBE) A/c	Dr.	4800,000	-
	To Share-Based Payment Liability A/c		-	48,00,000
	(SBP Liability)			
	(1000 SARs x 160 employees x ₹120 Fair Value x 1/4)			
	(Being employee benefit expense on Stock appreciation rights)			
~~31 Mar 2023~~	~~EBE A/c~~			
	Profit & Loss A/c	Dr.	4800,000	-
	To EBE A/c		-	4800,000
	(Being expense charged)			

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Date	Particulars		Dr (₹)	Cr (₹)
31 Mar 2023	EBE A/c	Dr.	56,00,000	-
	To SBP Liability A/c		-	5600,000
	(1000 SARS × 160 × ₹130 × 2/4)			
	(-) (4800,000)			
	(Being stock appreciation right expense recognised)			
	Profit & Loss A/c	Dr.	56,00,000	-
	To EBE A/c		-	56,00,000
	(Being expense charged)			
31 Mar 2024	EBE A/c	Dr.	5800,000	-
	To SBP Liability A/c		-	5800,000
	(1000 × 160 × ₹135 × 3/4)			
	(-) (104,00,000)			
	(Being stock appreciation right expense recognised)			
	Profit & Loss A/c	Dr.	5800,000	-
	To EBE A/c		-	5800,000
	(Being expense charged)			

Date	Particulars		Dr (₹)	Cr (₹)
31 Mar 2025	EBE A/c	Dr.	62,00,000	—
	To SBP Liability A/c		—	62,00,000
	(1000 x 160 x ₹140 x 4/4)			
	(-) (162,00,000)			
	(Being stock appreciation right expense recognised)			
	Profit & Loss A/c	Dr.	6200,000	—
	To EBE A/c		—	6200,000
	(Being expense charged)			
	On exercise of options :-			
	SBP Liability A/c	Dr.	224,00,000	
	To Bank A/c			224,00,000
	(Being rights exercised)			

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(ii) Revised Journal Entries

Date	Particular	Dr (₹)	Cr (₹)
31 Mar 2022	Employee Benefit Expense A/c (EBE) Dr.	4800,000	
	To Share Based Payment Liability (SBP Liability) A/c		4800,000
	(As calculated above)		
	(Being stock appreciation rights recognised)		
31 Mar 2028	Profit & Loss A/c Dr.	4800,000	
	To EBE A/c		4800,000
	(Being expense charged)		
31 Mar 2023	EBE A/c Dr.	90,66,667	
	To SBP Liability A/c		90,66,667
	(1000 × 160 × ₹130 × 2/3) (-) (4800,000)		
	(Being stock appreciation right expense recognised)		
	Profit & Loss A/c Dr.	90,66,667	
	To EBE A/c		90,66,667
	(Being expense charged)		

Date	Particular	Dr (₹)	Cr (₹)
31 Mar 2024	EBE A/c	Dr. 77,33,333	
	To SBP Liability A/c		7733,333
	(Being stock appreciation right expense recognised)		
	(1000 × 160 × ₹135 × 3/3)		
	(-) (13866667)		
	Profit & Loss A/c	Dr. 7733,333	
	To EBE A/c		7733,333
	(Being expense charged)		

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Answer- 5(a)

Q.5.
a.

~~(i)~~ As per IND AS 115 "Revenue from Contract with Customers", revenue recognition for license can be of two seperate categories :-

(i) Revenue recognised over a period of time
(ii) Revenue recognised at point in time.

In order to ascertain the type of revenue recognition following points need to be considered:-

(a) Entity is required or other party expects the entity to undertake certain activities under the contract.

(b) The activities undertaken by the entity will affect the value of the

licensed intellectual property.

(c) Such activities are not a seperate performance obligation under the contract.

If all the three conditions are satisfied, revenue shall be recognised over a period of time.

If any of the 3 conditions is not satisfied, revenue shall be recognised at a point in time.

As per above:-

i). Haso ltd shall provide upgrades on when-and-if available basis to Mr. Grahak for software application license.
Further, Mr. Grahak can choose whether to install them or not.

Thus, even though certain activities are undertaken ~~as~~ ~~per~~ by Haso ltd it may not provide increase in value

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of the licensed intellectual property.

The performance obligation is to provide the application license and further activities are uncertain.

In the light of same, revenue of ₹200,000 shall be recognised at a point in time on sale of ~~₹~~ software application license.

ii) In this case, Haso Ltd is expected to maintain the brand through product improvements, marketing, etc.

Thus, activities are expected to be undertaken.

Further, marketing and other activities shall affect the value of the licensed intellectual property.

Also, it is not a seperate performance obligation.

Thus, revenue shall be recognised over the license period i.e. 5 years.

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Answer- 5(b)

Q.5.

b.

(i)

As per IND AS 111, "Joint Arrangement" an agreement shall be treated as joint arrangement, when parties to the agreement have joint control of the arrangement.

Joint control is depicted by requirement of unanimous consent to direct the relevant activities.

A joint arrangement should be classified as a joint operation or joint venture on basis of facts and circumstances of each case and by exercising judgement.

Joint operation is an arrangement in which parties to the arrangement have rights to assets and obligations for liabilities of the arrangement.

An arrangement can be treated as joint operation particularly when no seperate legal entity is created under the arrangement.

Thus, as Tiger Gems Ltd and Mammoth Minerals Ltd share costs and services of the arrangement and no seperate entity is incorporated, joint arrangement shall be treated as joint operation.

Tiger Gems and Mammoth Minerals shall recognise their share of assets, liabilities, incomes and expenses from the joint operation in accordance with respective IND AS.

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(ii) As per IND AS 16 'Property, Plant and Equipment' and IND AS 37 'Provisions, Contingent Liabilities and Contingents',

the present value of decommissioning liability shall be capitalized to the cost of the asset to which such liability is associated with.

In the present case, Tiger Gems and Mammoth Minerals will recognise their share of asset in their books of account along with the provision for decommissioning liability as per below :-

Property, Plant & Equipment A/c Dr. xxx
To Provision for Decommissioning Liability A/c xxx

In addition to their share of provision, it shall also ~~recognise~~, ~~the~~ disclose in its notes the share of other party's liability as a

contingent liability.

As per IND AS 16 'Property, Plant and Equipment'
property plant and equipment are tangible items :-
~~that a~~
- held in production of goods or provision of services, for rental to others or for administrative purposes and
- held for more than one period

The unextracted coal and mine shall be treated as an item of property, plant and equipment as it is held in production of goods for more than one period.

It should be treated as a seperate component of mine and depreciated to its ~~useful life~~. residual value over its useful life.

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However, if the residual value of the unextracted coal exceeds its cost, depreciation should not be charged.

95% of the ~~total~~ coal extracted shall be accounted for as inventory under IND AS 2 "Inventories".

Answer- 5(c)

Q.5.
c.

(i) Although, electricity deposit is repayable on demand, however the entity shall demand its payment on closure of its factory.

Hence, practically electricity deposit shall be received only on closure.

It shall be treated as non-current asset.

(ii) Tender is to be opened within next six months.

~~Thus, if entity~~
Thus, it will be realised within a period of twelve months and hence, current asset

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(iii)

GST deposit will be receivable only on hearing and disposal of appeal.

As appeal is expected to be heard after 30 June 2026, deposit shall be realised after 12 months from reporting period.

Thus, it will be non-current asset

(iv)

Earnest deposit is receivable only on completion of job work, that is expected to be completed ~~within~~ beyond 12 months from reporting period.

Thus, it will be treated as current asset.

Thus, it will be treated as

non-current asset

Answer- 6 (a)

Q.6.

a. Impacts of Blockchain on Financial Reporting :-

(i) Simplified Reconciliation :-

Reconciliation of entries and balances is a cumbersome process that can be avoided by blockchain as there is a single shared source of truth.

Thus, reducing time and increasing efficiency.

(ii) Real Time Financial Reporting

As blockchain transactions are recorded simultaneously as ent incurred, they keep adding to the existing block.

This provides real time information, which can be used to create

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most recent financial statements enabling users to take decisions on real time basis.

(iii) Cost Reduction

Blockchain reduces the need of intermediaries and third-parties, thus leading to significant cost reductions.

(iv) Enhanced Security

Blockchain uses cryptographic algorithms ~~algorithm to share and store data. It is difficult for en~~ to secure data. Possibility of data breaches reduces to a significant extent.

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02 MAY 2025 Addl. Book No. 1

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
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(v) ~~En~~ Streamlined Audit Processes

Blockchain information can be accessed by auditors on a real time bases providing transperancy, increasing efficiency and reducing costs.
Auditors can access information using secure programs and perform audit efficiently.

(vi) Enhanced Audit Trail

Audit trail is maintained for each transaction on blockchain. This helps to ensure identification of personnel entering transactions.

Answer - 6(b)

Q.6.
b-

Total Cost of Production

Raw Material	150,000
Wages	90,000
Fixed Overhead	65000
Variable Overhead	50,000
	355,000

Net Realisable Value of By-Product

Sale Proceeds (2000 × ₹20)	40,000
(-) Processing Charge	(8000)
(-) Packing Charge	(2000)
	30,000

Sale of Scrap B	5000

∴ Joint Cost for Galaxy 1 and 2

(355000 - 30,000 - 5000) = ₹ 320,000

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Average Sale Price

	Unit Price	Units
Galaxy 1	₹60	5000
Galaxy 2	₹50	4000

∴ Total Sale Price

Galaxy 1	(5000 × 60)	300,000
Galaxy 2	(4000 × 50)	200,000

Joint Cost apportioned in 3 : 2

Galaxy 1	192000
Galaxy 2	128000

Value of Closing Stock

$$\text{Galaxy 1} = \frac{192000}{5000} \times 100$$

$$= \boxed{₹3840}$$

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Galaxy ^{2} $= \frac{128000}{4000} \times 250$

$= ₹8000$.

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THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA MAY, 2025

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Answer - 6(c)

Q.6.

c.

₹ lakhs

Year	Cash Flow	PV Factor	Present Value
1	420	0.8929	375.018
2	418	0.7972	333.230
3	272	0.7118	193.610
4	606	0.6355	385.113
5	777	0.5674	440.870
Terminal Value	8919	0.5674	5060.641
Value of Company			6788.482
~~Number of Share~~			~~20 Lakh~~
(-) Debt			(3294)
(+) Surplus Cash			240
			3734.482

No. of shares = ₹ 20 lakh

∴ Value per share = $\frac{3734.482}{20}$

= ~~₹186.67~~

₹186.72

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Answer - 2(b)

Q.2.

b.

	₹
Profit Before Tax	800,000
(+) Dividend Income (Income should be recognised on receipt)	600,000
(-) Sales Promotion Expenses (Expenses are recognised when incurred, cannot be deferred) (30L × 60%)	(18,00,000)
(+) Unallocated Extraordinary Gain (Gain recognised when accrued)	200,000
(+) Change in Method of Inventory (This is change in accounting policy, adopted retrospectively, prior periods to be restated) (Portion of previous quarter added back)	10,00,000

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(-) Gain on Sale of Investment (Gain to be recognised in first quarter entirely, apportioned Amount adjusted)	(10,00,000)
Profit Before Tax (Loss)	(200,000) Loss.

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02 MAY 2025

MAY, 2025

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Answer - 2(a)

Q.2.

a.

(1) Initial Recognition on 1 April 2023

Bank A/c (500,00,000 - 590,000)	Dr.	49410,000
To Loan A/c		49410,000

(Being loan recognised net of ~~ex~~ transaction cost)

(2) Interest and Repayment on 31 Mar 2024

Loan A/c	Dr.	98,17,850
Interest A/c	Dr.	5682,150
To Bank A/c		155,00000

(Being installment paid)

(3) Interest Accrual on 31 March 2025

Interest A/c	Dr.	45,53,097 ~~44,00,~~	
To Bank A/c			44,00,000
To Loan A/c			153,097

(Being interest accrual and ~~payment~~ recognised)

(4) Extinguishment ~~Entry~~ on 31 March 2025

Profit & Loss A/c	Dr.	254,753	
Old Loan A/c	Dr.	397,45,247	
To New Loan A/c			400,00,000

(Being Loan extinguished)

(5) Interest Accrual and Payment on 31 March 2026

Loan A/c	Dr.	50,00,000	
Interest A/c	Dr.	60,00,000	
To Bank A/c			110,00,000

(Being interest and payment installment recognised)

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NOTES:-

(1) Amortization Table for Original Loan

Year	Opening Balance	Interest @ 11.5%	Payment	Closing Balance
0	500,00,000		(590,000)	494,10,000
1	494,10,000	5682,150	(155,00,000)	39592,150
2	39,592,150	45,53097	(44,00,000)	397,45,247

(2) Calculation of New loan at Original EIR

Year	Principal Repayment	Interest @ 15%	~~PV Factor~~ Total	PV Factor 11.5%	~~PV~~ Value
1	50,00,000	60,00,000	110,00,000	0.897	9867000
2	50,00,000	5259,000	10250,000	0.804	8241000
3	50,00,000	45,00,000	95,00,000	0.721	6849500
4	50,00,000	3750,000	8750,000	0.647	5661250
5	50,00,000	3000,0000	8000,0000	0.580	46,40,000
6	50,00,000	2250,000	7250,000	0.520	37,70,000
7	50,00,000	1500,000	65,00,000	0.467	3035500
8	50,00,000	750,000	5750,000	0.419	2409250
					4,4473,500
	Old Loan Carrying Amount				39745247
	Difference				4728253
	Difference %				11.896%

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As difference exceeds 10% threshold modification will be accounted for as extinguishment accounting.

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02 MAY 2025

Addl. Book No. 4

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THE MAY, 2025

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Answer-1

Q1. A Limited
Consolidated Balance Sheet
1 October 2024

Particulars	₹
Assets	
Non-Current Assets	
Property, Plant & Equipment	1080
Goodwill	461.95
Intangible Assets	200
Current Assets	
Inventories	670
Financial Assets	
Trade Receivables	750
Cash & Cash Equivalents	170
Other Current Assets	430
Non-Current Assets Held for Sale	250

	₹
Total Assets	4011.95
Equity and Liabilities	
Equity	
Equity share Capital	775
Other Equity	1007.5
Non-Controlling Interest	248.4
Non-Current Liabilities	
Financial Liabilities	
Long Term Borrowings	450
Long Term Provisions	149.05
Deferred Tax Liability	127
Current Liabilities	
Financial Liabilities	
Short Term Borrowings	685
Trade Payables	560
~~Other~~ Short Term Provision	10
Total	4011.95

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1818322-08

NOTES:-

1. Computation of Purchase Consideration

	₹ lakhs
i) 15% stake revalued at measurement date fair value (40 lakhs x 15% x ₹40)	240
ii) Additional 55% stake Shares (40 lakhs x 55% x 1/8 x ₹160)	440
Cash (40 lakhs x 55% x ₹15)	330
iii) Deferred Consideration (35 lakhs x 0.83)	29.05
iv) Consideration to Promoter (Consideration to promoter is not in respect of acquisition of B Ltd but a service condition-based consideration) (It shall be expensed when incurred)	-

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(v) Share-Based Payment Award 2.5

(Original Award Value × Years Vested / Original or Revised Vesting Period Whichever is higher)

(5 Lakhs × 2/4)

(Remaining amount of 8 - 2.5 = 5.5 lakh will be recognised as expense over remaining period of award)

Total Purchase Consideration 1041.55

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2. Net Assets and Deferred Tax

	Carrying Amount	Fair Value	Difference	DTA / (DTL)
Patent		200	200	(60)
PPE	400	480	80	(24)
Inventory	150	170	20	(6)
Trade Receivable	300	300	-	
Cash & CE	100	100	-	
Other Current Asset	230	230	-	
NCA held for Sale	250	250	-	
Long Term Borrowing	(200)	(200)	-	
Long Term Provision	(70)	(70)	-	
Short Term Borrowing	(285)	(285)	-	
Payables	(250)	(250)	-	

Lawsuit Liability	-	(10)	(10)	3
Total Deferred Tax Liability (DTL)				87

Fair Value of Net Assets	915
(-) DTL	(87)
Net Assets	~~1002~~ 828

3. Goodwill Computation

Purchase Consideration	1041.55
(+) NCI (~~1002~~ 828 x 30%)	~~300.6~~ 248.4
(-) Net Assets at Fair Value	(828)
Goodwill	461.95

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4. Consolidation Notes

Particulars	A Ltd	B Ltd	Adjust-ment	Total
Intangibles			200	200
PPE	600	400	80	1080
Investment	210		(210)	-
Inventories	500	150	20	670
Trade Receivable	450	300	-	750
Cash and Cash Equivalents	400	100	(330)	~~500~~ 170
Other Current Assets	200	230		430
Non-Current Asset Held for Sale		250		250
LTerm Borrowing	250	200		450
Long-Term Provs	50	70	29.05	149.05
DTL	40		87	127
S-Term Borrowing	400	285		685
Trade Payables	310	250		560
Lawsuit Liability (Short Term Provision)			10	10

Note:- Lawsuit Provision is considered to be a current liability.

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5. Equity Share Capital

	₹ lakhs
Opening	500
(+) Shares Issued (2.75 lakh x ₹100)	275
	6775

6. Other Equity

	(₹ lakhs)
Opening	810
(+) 15% Stake Remeasured (240 - 210 Lakhs)	30
(+) Securities Premium on Share Issue (2.75 Lakh x ₹60)	165
(+) Share Based Payment Award	2.5
	1007.5

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(₹ lakhs)

7.	Non-Controlling Interest	248.4
	(828 × 30%)	

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